

SUMMING UP

THE STRATEGIES

PROTECTIVE PUT STRATEGY

To hedge long position.

Here we buy put options to hedge our stock portfolio.

Limited loss and unlimited profit potential.

SYNTHETIC PUT STRATEGY

To hedge short position.

Here we buy call options to hedge our stock portfolio.

Limited loss and unlimited profit potential.

COVERED CALL STRATEGY

Short Term Hedge on Long Portfolio to reduce losses.

Here we sell call options to collect premium and reduce losses if the market goes down.

Unlimited loss and limited profit potential.